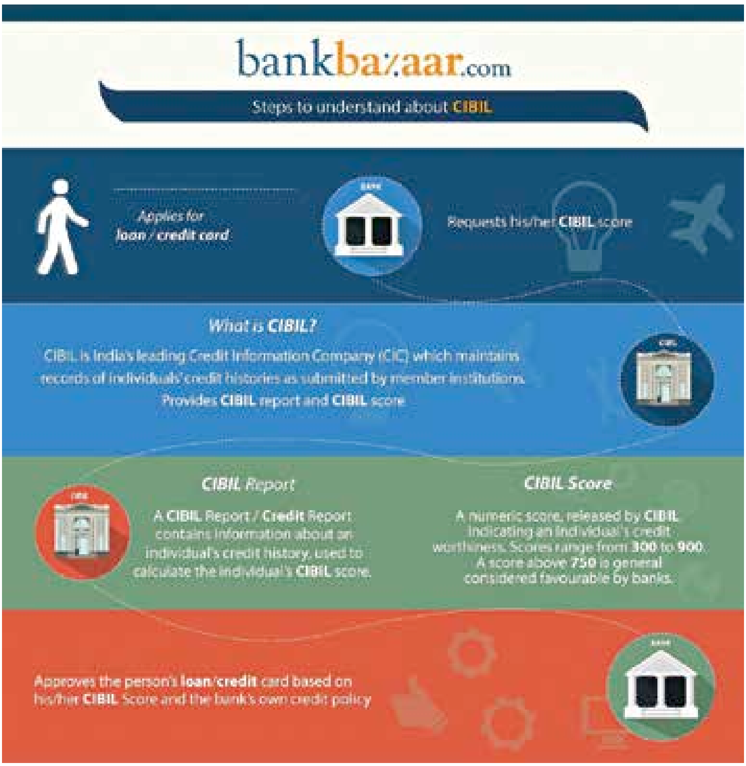
- **Fines on Skips, Defaults**

EMIs are agreements that the borrower will pay their debt on time in monthly instalments. Skipping instalments or defaulting on payment, therefore, is a violation that is legally pursuable. Most lenders start with fines and hike in interest to punish the borrowers in these cases. This is especially so since most EMI schemes are unsecured loans where the interest is already higher than secured loans. Hiccups in EMI also reflects in your CIBIL score.



BankBazaar.co Infographic on CIBIL

- **No Collateral**

Most EMI schemes provide loans without the need for any collateral or guarantors. These are unsecured loans, and they provide a comparatively risk-free experience to the borrowers.